

2011, when Marc Andreessen wrote, "Software is eating the world", he was referring to the increasing 'tech-ification' of businesses. Since then, companies big and small have been rebranding themselves as 'tech companies'. In 2018, the CEO of the beauty firm L'Oreal, Jean-Paul Agon, told investors about his company's transformation to a beauty-tech company. Sundar Pichai declared Google as an 'AI-first' company in 2016.

Since the launch of ChatGPT in November 2022, AI has entered the mass adoption stage in its evolution. While AI models have been improving our lives for several years now (think of how YouTube helps you discover content, or your reliance on Google Maps for directions), with ChatGPT and other generative AI tools, the magic of AI has become more immediate and accessible for a wide range of everyday activities. This new breed of AI is game-changing in three ways.

First, for the first time in history, we have a technology that aims to understand us. With every new technology, we humans were expected to learn it so we could use it better. The new AI, however, seeks to understand us. This is a game-changer and a huge equaliser. No prior understanding of the technology is necessary to get started.

Second, this AI is super-responsive to our needs and is designed to please humans. Techniques such as reinforcement learning from human feedback have ensured that these AI systems produce answers that satisfy human beings. And when you provide feedback, these systems seem to learn quickly, in the space of a conversation, to provide more relevant, better answers.

Three, AI is more knowledgeable than ever. AI models like GPTs (Generative Pre-Trained Transformers) go beyond traditional search engines, encapsulating the world's collective knowledge and understanding the context as well as the intent behind users' queries. The most common analogy is to think of it as a library with all the books ever written. Traditional search engines work like a library's index card system, where you find books based on specific titles, or 'keywords'. In contrast, AI models like GPTs are akin to a librarian who offers you excerpts or summaries of exactly what you are looking for. This is a leap in how we utilise the vast reservoir of human knowledge.

What's more, AI is improving on all these counts on a daily basis. Regardless of one's belief or scepticism, AI's influence extends beyond mere rhetoric.

The rapidly evolving landscape of AI is becoming a focal point for global leadership as it holds the power to redefine economic dynamics and geopolitical balances. The integration of AI into various sectors promises significant boosts in GDP growth and progress, underpinned by enhanced productivity and innovation.

However, this advancement is not without challenges. One of the biggest concerns is AI's impact on the job market. While it indeed poses the risk of job displacement in sectors where automation can easily replace human labour, it also has the potential to augment human capabilities. This can lead to the creation of new opportunities and industries, thus enhancing, rather than replacing, the human workforce.

The rise of AI also brings forth security considerations. Its potential use in cyber warfare and the development of autonomous weapons systems presents new kinds of threats. There's a growing concern that those who develop and control these technologies could monopolise their benefits, leading to imbalances in global power structures. To mitigate these risks, international agreements and ethical guidelines are needed to ensure responsible AI development and prevent power imbalances. The recent Artificial Intelligence Act proposed by the European Union, a first-of-its-kind regulation, aims to do just that. It's a matter of time before more nations follow.

For India, embracing AI offers a unique opportunity to bypass traditional developmental stages. The country has already demonstrated its prowess in technology (Flipkart, Zoho) and has a burgeoning startup ecosystem that is increasingly focusing on AI solutions (flyfish.ai, Qure.ai). The launch of the 'National Mission for Artificial Intelligence' in 2020 underscores a commitment to harnessing AI for national development.

While the technological shift may initially appear challenging for labour-intensive sectors in India, AI can be harnessed to enhance these industries. As technology becomes more accessible and affordable, the focus is on integrating AI to streamline operations, improve efficiency and reduce manual drudgery. This involves

TAKEAWAYS

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The objective should be to blend AI's capabilities with the existing workforce in India

The government should commit to training at least 50 million citizens in digital skills over the next five years